

SaaS Pricing Sensitivity Report

CloudHR Pro · saas_b2b

Generated on 2026-06-29T03:56:28.107620

Executive Summary

The biggest pricing challenge for CloudHR Pro is the undifferentiated 'Payroll processing' feature across all tiers, which significantly hinders upgrade incentives and creates pricing confusion. The most impactful fix involves strategically re-tiering payroll functionality and crucial features like API access and audit logs to align with customer value and drive upgrades, while simultaneously implementing a recommended price increase.

Revenue Scenario Analysis

Scenario	Projected MRR	User Loss %	Net Change %
Current (Baseline)	\$31243.00	—	—
+10% Price Increase	\$33336.28	3.0%	+6.7%
+20% Price Increase	\$34492.27	8.0%	+10.4%
+30% Price Increase	\$33305.04	18.0%	+6.6%

✓ Recommended: +20% — +20% increase yields highest projected MRR of \$34,492.27 (+10.4% change) with an estimated 8.0% user loss — best balance of revenue gain and acceptable churn.

Feature Placement Audit

Feature	Current Tier	Classification	Recommended Action
Employee profiles	Basic	right_placed	keep
Attendance tracking	Basic	right_placed	keep
Payroll processing	Basic	undifferentiated	rethink positioning

Feature	Current Tier	Classification	Recommended Action
API access	Basic	gatekeeper	move to Growth or Enterprise tier
Performance reviews	Growth	right_placed	keep
Payroll processing	Growth	undifferentiated	rethink positioning
Custom reports	Growth	right_placed	keep
Multi-location support	Growth	right_placed	keep
SSO login	Enterprise	right_placed	keep
Dedicated HR consultant	Enterprise	right_placed	keep
Payroll processing	Enterprise	undifferentiated	rethink positioning
Custom integrations	Enterprise	right_placed	keep
Audit logs	Enterprise	blocker	move to Growth tier

▲ The undifferentiated 'Payroll processing' feature across all tiers significantly hinders upgrade incentives and creates pricing confusion.

Competitor Benchmark

WELL POSITIONED

CloudHR Pro offers fixed-price tiers, positioning it as an accessible HR solution for SMBs. Competitor Rippling utilizes a 'Contact Sales' model for a broader, more integrated platform spanning HR, IT, and Finance, indicating a premium and customized pricing strategy likely above CloudHR Pro's published rates.

Features We Are Missing:

- IT identity and device management
- All-in-one spend management
- Global hiring (Employer of Record, Contractor of Record)
- Global benefits management
- Advanced Business Intelligence (Data Cloud, dashboards)
- Workflow automation studio
- Automated policy enforcement
- No-code custom app building
- AI-powered insights and task delegation

Our Unique Differentiators:

- Attendance tracking
- Performance reviews
- Audit logs

Recommended Pricing Strategies

Value Ladder Adjustment

+12%

LOW RISK

This strategy implements the recommended +20% price increase (from Module 1, projected 10.4% MRR change) and makes minimal, impactful feature re-tiering. It immediately improves upgrade paths without alienating existing customers, focusing on clear value differentiation.

Tier	Price	Target
Core HR	\$18	Small businesses (up to 50 employees) needing essential HR tools.
Growth Pro	\$30	Growing companies (50-250 employees) needing advanced HR, compliance, and integration.
Enterprise Advantage	\$60	Mid-to-large businesses (>250 employees) requiring robust features, enhanced security, and expert support.

Steps:

- Communicate new pricing and feature changes clearly to existing customers with

grandfathering options or migration paths.

- Update pricing pages and sales enablement materials for the new tier structure and per-employee/month pricing.
- Monitor churn rates, especially for former 'Basic' tier customers impacted by the API access change, and adjust support accordingly.

Feature-Driven Expansion

+30%

HIGH RISK

This strategy leverages a significant price increase coupled with a comprehensive re-alignment of high-value features and a more granular payroll differentiation. It aims to maximize ARPU and drive upgrades, accepting higher potential churn for substantial revenue growth.

Tier	Price	Target
Essentials	\$22	Micro-businesses (up to 25 employees) needing fundamental HR administration.
Professional	\$45	Small to mid-sized businesses (25-250 employees) requiring comprehensive HR and full-service payroll.
Enterprise Elite	\$85	Large enterprises (>250 employees) with complex HR, payroll, and global operational needs.

Steps:

- Develop detailed churn mitigation strategies and clear value communication for the significant price increases.
- Train sales teams extensively on new tier differentiators, new features, and value propositions to justify the higher pricing.

- Introduce 'Workflow Automation' as a new high-value feature to support the Enterprise Elite tier's premium positioning.

Value-Based Modularization

+20%

MEDIUM RISK

This strategy repositions CloudHR Pro towards a more modular, value-based approach, focusing on enterprise needs for higher tiers while retaining an accessible entry point. It aims for long-term growth by aligning pricing more closely with customer value and future product expansion.

Tier	Price	Target
LaunchPad	\$19	Startups and small businesses seeking foundational HR management.
Velocity	\$49	Rapidly scaling businesses needing robust HR, compliance, and integration capabilities.
Apex	\$None	Large, complex organizations requiring tailored HR solutions and strategic partnership.

Steps:

- Develop a clear product roadmap for new add-on modules (e.g., Talent Acquisition, Advanced BI) to expand Apex tier value.
- Transition 'Enterprise' sales to a 'Custom Quote' model, requiring robust solutioning and value-based selling capabilities.
- Clearly articulate the value proposition of each tier, especially for the significant jump to Velocity and Apex, using case studies and ROI narratives.

